

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 16
JUDICIAL OFFICER: BENJAMIN T REYES II
HEARING DATE: 08/26/2026

**INSTRUCTIONS FOR CONTESTING TENTATIVE RULINGS
IN DEPARTMENT 16**

Notice: The Law & Motion Calendar for Wednesday, August 26, 2026 will convene at 1:30 p.m. instead of 9:00 a.m. in Department 16 before the Hon. Benjamin T. Reyes II.

The tentative ruling will become the ruling of the Court unless by 4:00 P.M. of the Court day preceding the hearing, specifically, August 25, 2026, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 16 (Dept16@contracosta.courts.ca.gov) to request argument and **must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why.** Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00 P.M. of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

The prevailing party must prepare and e-file a proposed order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

<https://www.zoomgov.com/j/1619504895?pwd=NOV1N3JFRnJ0TEVoSDNrTGRzakF3UT09>

ID: 161 950 4895

Password: 812674

Courtroom Clerk's Session

1. 1:30 PM CASE NUMBER: C23-02878
CASE NAME: GUADALUPE HARO VS. YEZENIA HARO
FCMC TO TRAIL MOTION RE: COMPLETE CONSOLIDATION OF CASE NO. C23-02878 WITH CASE NO. C26-00880
FILED BY:
TENTATIVE RULING:

This Case Management Conference ("CMC") trails the Motion for Line 13. Since Line 13 was unopposed and the motion to consolidated granted, this CMC is continued to December 24, 2026 at 8:30 a.m. The Parties are ordered to meet and confer to discuss alternative dispute resolution and to present an ADR plan to Court. No appearance is required at the hearing on August 26, 2026.

2. 1:30 PM CASE NUMBER: C23-03161
CASE NAME: ALISCHA WILSON VS. INTEX RECREATION CORP.,
FILED BY:
TENTATIVE RULING:

This CMC is **vacated**. No appearance is required at the hearing on August 26, 2026.

3. 1:30 PM CASE NUMBER: C24-03039
CASE NAME: MELANIE ROSE VS. FIRST WALNUT CREEK MUTUAL

FILED BY:
TENTATIVE RULING:

This CMC is **vacated**.

4. 1:30 PM CASE NUMBER: C26-00183
CASE NAME: AURA MANAGEMENT CO. VS. ERIC DOLL

FILED BY:
TENTATIVE RULING:

This CMC trails the hearing for Lines 18 and 19. The parties are ordered to appear via Zoom for the CMC unless the tentative rulings are unopposed for both motions.

5. 1:30 PM CASE NUMBER: C26-00192
CASE NAME: ATHENA PLASSAS VS. PLANNED PARENTHOOD SHASTA-DIABLO INC

FILED BY:
TENTATIVE RULING:

See Line 20. This CMC is **vacated**. No appearance is required at the hearing on August 26, 2026.

Discovery Law & Motion

6. 1:30 PM CASE NUMBER: C24-00285
CASE NAME: PABLO BELTRAN DIAZ VS. IMPORT MOTORS, INC.
COMPEL FURTHER RESPONSES TO FORM INTERROGATORIES, SET NUMBER RE: IMPORT MOTORS, INC.
FILED BY: BELTRAN DIAZ, PABLO ROBERTO
TENTATIVE RULING:

Summary

This tentative ruling is for Lines 6, 7 and 8. All eight discovery motions calendared for August 26, 2026, and those calendared for September 2, and September 16, 2026 are **vacated** and referred to a discovery referee as set forth herein. No appearance is required at the August 26, 2026 hearing.

Background

This is a personal injury case arising out of an alleged collision between an automobile and a bicycle. Plaintiff Pablo Beltran (“Plaintiff”) was riding the bicycle; Defendant Noelle Lucas (“Lucas”) was the alleged driver of the auto; and Defendant Import Motors Inc. and Defendant Sojitz Automotive Group (collectively, Defendants) are Lucas’ alleged employer.

Plaintiff has filed eight separate motions to compel discovery, four against Import Motors and four against Lucas. As to each defendant, there are motions concerning form interrogatories; special interrogatories; requests for production; and requests for admission. The separate statements on the eight motions alone run many hundreds of pages. Defendants have filed no responsive separate statements, but have filed a single, combined opposition brief. Although all eight motions were filed on the same date, they are calendared for three separate hearing dates – August 26, September 2, and September 16, 2026. This case is set for trial on October 26, 2026.

The court **vacates** all eight (8) of the foregoing hearings on these discovery motions, and any other subsequently filed discovery motion, and appoints, *sua sponte*, a Discovery Referee to hear all of the foregoing discovery motions, and any and all discovery motions, filed by the Plaintiff in this litigation as set forth in this tentative ruling.

Analysis

Meet and Confer Requirements

The parties to a discovery dispute are required to meet and confer, in a reasonable and good faith attempt, to informally resolve any dispute concerning discovery. See Cal. Code Civ. Proc. §§ 2016.040, and *Golf & Tennis Pro Shop, Inc. v. Sup. Ct.* (Frye) (2022) 84 Cal.App.5th 127, 138. In addition to the statutory requirements that obligate counsel to meet and confer on a discovery motion, local rules require the same. See L.R. 2.121(e). Additionally, the Court’s local rules states that motions “should be filed sparingly, in good faith and when the issue(s) cannot be otherwise resolved.” L.R. 2.122(c). Cal. Code of Civ. Proc. § 2016.040 requires, at a minimum, **attorneys to talk in person, by telephone, or by video conference to work out issues, rather than just send written** correspondence with an invitation to “call me if you should have any further questions or comments,” which Courts have found to be insufficient. *Jovita Obregon v. Superior Court* (1998) 67 Cal.App.4th 424, 429, 431-433.

The court is not convinced that the Parties have complied with their statutory obligation to meet and confer. Here, the declarations presented to the court suggests Plaintiff’s counsel only sent “meet and confer” letters and alluded to her office “following up” before filing these motions. Indeed, the record does not reflect that the attorneys actually talked in person, by telephone or by video conference pursuant to statutory requirements before pursuing these eight motions. Accordingly, the Court is inclined to dismiss all eight motions for failing to comply with the fundamental practice of “meeting and conferring” prior to pursuing discovery motions. See ruling below for further instructions.

Referral to Discovery Referee

Moreover, this Court maintains a judicial philosophy that discovery motions are overused and should be discouraged unless there is no compliance with the statutes. Before making a motion to compel, counsel are advised to consider carefully whether doing so is truly worthwhile. "Motions to compel should be considered a last resort when trying to prepare a case for trial." California Civil Discovery Practice (4th ed., CEB) § 15.32[C]. Additionally, "trial courts generally have little tolerance for discovery motions because of a perception that the parties ought to be able to resolve many, if not most, discovery disputes without judicial intervention. But because legitimate discovery disputes do exist, motions to compel are sometimes justified. If a motion to compel becomes necessary, counsel should understand that busy trial courts will not often be able to spend much time analyzing complex discovery disputes." California Civil Discovery Practice (4th ed., CEB) § 15.38.6. Here, Counsel appeared to have met and conferred but are unable to resolve the discovery disputes before informally.

On motion of a party, stipulation of the parties, or *sua sponte*, a court may appoint a discovery referee to manage and rule on the discovery aspects of a case. See Code Civ. Proc., §§ 639(a)(5), (b)–(d); Cal. Rules of Court, rules 3.920–3.932; *Lu v. Superior Court* (1997) 55 Cal.App.4th 1264 (trial court has authority to appoint discovery referee before discovery dispute arises to assist attorneys in creating efficient discovery plan).

The Court finds, in its discretion, that such an appointment of a Discovery Referee is warranted under the circumstances of this case. The Court finds that the multiple discovery motions, the existing disputes raised by the pending discovery motions, and the nature of the underlying legal issues require the appointment of a Discovery Referee. Code Civ. Proc., § 639(a)(5) states: "When the court in any pending action determines that it is necessary for the court to appoint a referee to hear and determine any and all discovery motions and disputes relevant to discovery in the action and to report findings and make a recommendation thereon."

The Court finds here that a discovery referee is necessary to hear and determine all disputes relevant to discovery. There are eight motions filed Plaintiff. These motions and oppositions filed to date consist of over 1,400 pages. This Department manages a docket of 2700 active cases, including complex, class action, PAGA, CEQA and construction defect matters. The civil law division of this Court manages 25,000 cases over six bench officers. The Court finds that Counsel are unable to effectively meet and confer to arrive at an informal resolution of the discovery disputes.

After considering the moving and opposition papers submitted by Counsel, and analyzing the applicable statutory and decisional authorities, the Court finds good cause to make the following findings, orders and rulings.

Ruling

1. A Discovery Referee is appointed. The Court grants its motion, *sua sponte*, for the appointment of a Discovery Referee pursuant to Code Civ. Proc., § 639.
2. The Discovery Referee shall hear all disputes relevant to discovery in this case and report findings and make a recommendation thereon. Specifically, the Discovery Referee shall hear all motions calendared for August 26, September 2, and September 16, 2026. The hearings for all eight discovery motions are **vacated** from Department 16's calendar and are referred for further hearing to the Discovery Referee. All discovery motions filed subsequent to this date

shall be heard by the Discovery Referee.

3. By no later than August 31, 2026 the Parties are ordered to meet and confer pursuant to Code Civ. Proc. § 639(b) or (c) and shall submit a stipulation and proposed order listing the proposed Discovery Referee to the court along with the proposed referee's curriculum vitae and fee schedule. If the Parties are unable to jointly agree to a proposed Discovery Referee by August 31, 2026, the Parties each shall submit the name of one proposed Discovery Referee and fee schedule along with his/her/their curriculum vitae to the Court by letter, emailed to dept16@contracosta.courts.ca.gov by Wednesday, September 2, 2026. The Court will select one of the proposed referees by minute order. Code Civ. Proc. § 640(b). The Discovery Referee will be requested to sign the Judicial Council ADR-110 Form. Upon receipt of the executed form by the Discovery Referee, the Court will sign the ADR-110 Form.
4. No party has established an economic inability to pay a *pro rata* share of the referee's fee and so the fees and costs for the initial retention of the Discovery Referee shall be split 50/50 between the parties. The Discovery Referee shall have the authority to make recommendations and proposed orders apportioning the fees, costs and sanctions relating to all discovery motions referred to the Discovery Referee.
5. Plaintiff's Counsel is directed to prepare and e-file a proposed order in compliance with all applicable law for the appointment of the referee, including Code Civ. Proc., § 639, that conforms to this ruling, approved as to form by Defendants' Counsel, no later than five (5) days after the date of this order.
6. Counsel are ordered to provide copies of all discovery motions and responses to the Discovery Referee within five (5) days of appointment.
7. The Clerk of Court shall vacate Plaintiff's discovery motions calendared for August 26, September 2, and September 16, 2026. All future discovery disputes shall be referred to the Discovery Referee until further order of the Court.
8. The Parties are ordered to meet and confer pursuant to Cal. Code of Civ. Proc. § 2016.040 **in person, by telephone, or by video conference** to discuss the dispute for all eight discovery motions. Counsel shall file and serve a declaration specifying in detail how they have complied with this statutory requirement, including the date, time and duration of the meet and confer efforts no later than September 18, 2026.
9. No appearance is required at the hearing on August 26, 2026.

7. 1:30 PM CASE NUMBER: C24-00285

CASE NAME: PABLO BELTRAN DIAZ VS. IMPORT MOTORS, INC.

COMPEL FURTHER RESPONSES TO SPECIAL INTERROGATORIES, SET NUMBER TWO - NOS. 44-98

RE: IMPORT MOTORS, INC.

FILED BY: BELTRAN DIAZ, PABLO ROBERTO

TENTATIVE RULING:

See Line 6.

8. 1:30 PM CASE NUMBER: C24-00285
CASE NAME: PABLO BELTRAN DIAZ VS. IMPORT MOTORS, INC.
COMPEL FURTHER RESPONSES TO SPECIAL INTERROGATORIES, SET NUMBER TWO - NOS. 43-97
RE: NOELLE ELIZABETH LUCAS
FILED BY: BELTRAN DIAZ, PABLO ROBERTO
TENTATIVE RULING:

See Line 6.

9. 1:30 PM CASE NUMBER: MSC21-01963
CASE NAME: KNIGHT VS HONDA
COMPEL DEFENDANT AMERICAN HONDA MOTOR CO., INC.'S FURTHER RESPONSES TO REQUEST
FOR PRODUCTION OF DOCUMENTS, SET TWO
FILED BY: KNIGHT, MELANIE
TENTATIVE RULING:

Summary

Plaintiff Melanie Knight's discovery motion was continued from August 19, 2026 due to the unavailability of Hon. Benjamin T. Reyes II and the disqualification of Judge Charles Steve Treat (Ret.) The tentative ruling published for August 19, 2026 is set forth below.

Summary

Plaintiff moves to compel production of extensive categories of documents concerning safety devices that defendant Honda incorporated into its Vezel model, which was marketed and sold only in Japan. The motion is **denied**.

Background

This is a personal injury case, alleging that plaintiff was hit by a Honda while jaywalking. The claims against Honda center on the allegation that Honda's vehicle lacked safety features, such as forward collision-avoidance devices. Plaintiff has adduced in discovery that at the time the vehicle was made and sold, Honda incorporated such safety devices in a similar model it was selling in Japan. Plaintiff has also received discovery about the safety technology used on other Honda models.

The substance of this motion was already raised and ruled on by Judge Mockler in a prior motion to compel, which was denied. Plaintiff argues that it now has "new information", but it offers no convincing argument why that information overcomes the grounds for Judge Mockler's denial. Moreover, plaintiff waited over a year to file this motion.

In any event, with or without Judge Mockler's prior ruling, the Court views the present discovery sought as too burdensome and too far afield to warrant compelling discovery. Plaintiff wants to be able to prove at trial that Honda was capable of incorporating the disputed safety equipment in the model at issue, and that it understood the safety value of doing so. The point is a fair one for trial, but plaintiff has already got ample discovery responses (including the very deposition testimony it now relies on) to seek to carry that point at trial. The bulky details of the incorporation into the Japanese model vehicle will add little if any further probative value.

Honda has not requested sanctions.

Ruling

1. Plaintiff's Motion is **denied**.
2. Each party shall bear their own fees and costs for this motion.
3. Defendant shall prepare a proposed order conforming to this ruling, attaching a copy of this tentative ruling no later than five (5) days from the date of the hearing.

Law & Motion

10. 1:30 PM CASE NUMBER: C22-02180
CASE NAME: DIOGO SANTANA VS. MC BUILDERS ENTERPRISES, INC.
AMEND JUDGMENT TO ADD JASIEL PERERIA NASCIMENTO AND LT BUILDERS AS ADDITIONAL JUDGMENT DEBTORS
FILED BY: SANTANA, DIOGO
TENTATIVE RULING:

Plaintiffs and judgment creditors Diogo Santana and May da Luz Ribiero move under CCP section 187 to amend the judgment to add Jasiel Pereira Nascimento and LT Builders Enterprises, Inc. as judgment debtors. The motion was properly served on the named defendant and on the proposed added judgment debtors, none of which has filed any opposition. The motion is **granted in part and denied in part**. It is granted as to Nascimento, but denied as to LT Builders.

The authority provided to the courts by Code of Civil Procedure section 187 includes the power to add a judgment debtor where a person or entity is an alter ego of the original judgment debtor. (*Dow Jones Co. v. Avenel* (1984) 151 Cal.App.3d 144, 148 [198 Cal. Rptr. 457].) In doing so, the court is amending the judgment to add the real judgment debtor. (*Id.* at p. 149.) To prevail in a motion to add judgment debtors, WSI must show that (1) the parties to be added as judgment debtors had control of the underlying litigation and were virtually represented in that proceeding; (2) there is such a unity of interest and ownership that the separate personalities of the entity and the owners no longer exist; and (3) an inequitable result will follow if the acts are treated as those of the entity alone. (*Relentless, supra*, 222 Cal.App.4th at pp. 815–816.)

Triyar Hospitality Management, LLC v. WSI (II)-HWP, LLC (2020) 57 Cal.App.5th 636, 641.

Factors for the court to consider include identical equitable ownership, comingling of funds, use of the same offices, disregard of formalities, and use of one entity as a mere shell for the affairs of another. (*Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc., supra*, 217 Cal.App.4th at pp. 1108–1109.) An important factor in determining alter ego liability is that a corporate entity is so undercapitalized that it is

likely to have no sufficient assets to meet its debts. (*Automotriz etc. v. Resnick* (1957) 47 Cal.2d 792, 796–797 [306 P.2d 1].)

Butler America, LLC v. Aviation Assurance Co. (2020) 55 Cal.App.5th 136, 146.

As to Nascimento, the Court has reviewed the uncontested factual evidence presented with the motion, and it is satisfied that plaintiffs have met its burden. It is clear on the evidence that Nascimento conducted the landlord business of MC Builders, as to the premises at issue in this case, as his personal business, with no pretense or attempt to separate himself from any corporate entity. The remainder of plaintiff's proof is equally convincing. Based on this showing that Nascimento and MC Builders were alter egos, the Court need not reach the additional grounds argued by plaintiffs. Nascimento has presented no contrary evidence and has filed no opposition.

The evidence is not equally convincing as to LT Builders. Although MC Builders was an alter ego of Nascimento, and assuming arguendo that LT Builders was also an alter ego of Nascimento, it does not follow that LT Builders and MC Builders were alter egos of each other. The evidence is equally consistent with the hypothesis that LT Builders and MC Builders were both businesses owned and run by Nascimento, but that their business operations and property holdings were separate from each other. No evidence shows convincingly that LT Builders was either essentially the same business operation as MC Builders, or a successor to it.

The Court notes, however, that as Nascimento is being added as a judgment debtor, any ownership interest he has in LT Builders (or its assets) might potentially be reachable in satisfaction of the judgment on the basis that it is an asset owned by a judgment debtor. The Court also notes that since LT Builders is a dissolved corporation, it may not make any practical difference whether or not it were added as a judgment debtor here.

11. 1:30 PM CASE NUMBER: C23-02401

CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.

CROSS COMPLAINT

FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by cross-defendants Doug Smith, Fuller Properties, LLC, and approximately 20 other entity cross-defendants to the cross-complaint by Sequoia Equities, Inc. and Alder Creek Management, Inc. The parties were ordered to meet and confer, and the hearing on the demurrer to the cross-complaint was continued to this date.

On August 12, 2026, the parties filed a joint report on their meet and confer efforts in which they asked the Court to continue the hearing to a date prior to September 16, 2026. Pursuant to the parties' joint request, the hearing on the demurrer is continued to **9:00 a.m. on September 9, 2026**. No appearance is required at the hearing on August 26, 2026.

12. 1:30 PM

CASE NUMBER: C23-02723

CASE NAME: AMADOR RAMIREZ VS. M.O. DION AND SONS, INC.

(1) MOTION FOR FINAL APPROVAL OF CLASS ACTION SETTLEMENT AND (2) Motion FOR ATTORNEYS' FEES, COSTS, AND A CLASS REPRESENTATIVE ENHANCEMENT PAYMENT-SET BY THE DEPT.

FILED BY:

TENTATIVE RULING:

Summary

Plaintiff Amador Ramirez moves for final approval of his class action and PAGA settlement with defendant M.O. Dion & Sons, Inc. He also moves for approval of his attorney's fees, litigation costs, administration costs, and representative payment.

Since preliminary approval was granted, the administrator has mailed notices to 354 class members. Seven packets were returned by the post office. Follow up resulted in new addresses, leaving three non-deliverable. No objections have been received, and no class members have opted out.

The motion is **granted**.

Background and Terms

Defendant is a petroleum distributor with several distribution facilities in California. Plaintiff worked there as a delivery driver. The original complaint was filed on October 26, 2023.

The settlement will create a gross settlement fund of \$500,000. The class representative payment to the plaintiff will be \$10,000. Attorney's fees will be \$166,667 (one-third of the settlement). Litigation costs will not exceed \$15,000. The settlement administrator's costs are estimated at \$10,000. PAGA penalties will be \$50,000, resulting in a payment of \$37,500 to the LWDA. The net amount paid directly to the class members will be about \$248,333. The fund is non-reversionary. There are an estimated 500 class members. Based on the estimated class size, the average net payment for each class member is approximately \$500. The individual payments will vary considerably, however, because of the allocation formula prorating payments according to the number of weeks worked during the relevant time.

The entire settlement amount will be deposited with the settlement administrator within 10 days after the effective date of the settlement.

The proposed settlement will certify a class of all current and former non-exempt employed at Defendants' California facilities between August 22, 2022 and November 27, 2024. The class members will not be required to file a claim. Funds will be apportioned to class members based on the number of workweeks worked during the class period.

The settlement contains release language covering all claims and causes of action, alleged or which could have reasonably been alleged based on the allegations in the operative pleading, including a number of specified claims. Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ("A court cannot release claims that are outside the scope of the allegations of the complaint.") "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (Id., quoting *Marshall v.*

Northrop Grumman Corp. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Formal discovery was undertaken, resulting in the production of substantial documents. The matter settled after arms-length negotiations, which included a session with an experienced mediator. Counsel also has provided an analysis of the case, and how the settlement compares to the potential value of the case, after allowing for various risks and contingencies. For example, much of plaintiff's allegations centers on possible off-the-clock work, including missed or skipped meal breaks and rest breaks. Defendant, however, pointed out that its formal policies prohibit off-the-clock work, and asserted that it would have had no knowledge of employees beginning work before punching in or continuing after punching out. Further, it argued that it was required to make meal and rest breaks available, but not required to ensure that they be taken, so long as no employer policy prevented or discouraged taking such breaks. As to unreimbursed employee expenses (such as cell phone use, mileage, and masks), plaintiff would have been called on to show that such expenses were in fact incurred, were reasonably necessary to job performance, and were unreimbursed. Furthermore, the fact-intensive character of such claims would have presented a serious obstacle to class certification.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code § 2699(e)(2) (PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.")) Moreover, recent decisions may make it difficult for PAGA plaintiffs to recover statutory penalties, as opposed to actual missed wages. (See, e.g., *Naranjo v. Spectrum Security Services, Inc.* (2023) 88 Cal.App.5th 937; but see *Gola v. University of San Francisco* (2023) 90 Cal.App.5th 548, 566-67.)

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

Analysis

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. The Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees." (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th

273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “the court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney Fees and Other Costs

Plaintiffs seek one-third of the total settlement amount as fees, relying on the “common fund” theory, or \$166,667. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.)

Accordingly, plaintiffs have provided information concerning the lodestar fee amount. They estimate the lodestar at \$158,975, representing an implied multiplier of about 1.05. No adjustment from the one-third fee is necessary. The attorney’s fees are reasonable and are approved.

The requested representative payment of \$10,000 for the named plaintiff was deferred until this final approval motion. Criteria for evaluation of such requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07. Plaintiff has provided a declaration in support of the request. Plaintiff points out that he executed a broader release than the class as a whole, but does not identify any particular claims of value that he may have. He also risks damage to his reputation and more difficulty in obtaining employment. The representative payment is approved.

Litigation costs of \$10,983.11 (mostly mediation, filing, and consultant fees) are reasonable and are approved. They are less than was estimated at the time of preliminary approval.

The settlement administrator’s costs of \$10,000 are reasonable and are approved.

Conclusion

The moving papers sufficiently establish that the proposed settlement is fair, reasonable, and adequate to justify final approval. The allocation of PAGA penalties among the aggrieved employees (based on pay periods) is reasonable.

The motions are **granted**.

Counsel are directed to prepare an order reflecting this entire tentative ruling and the other findings in the previously submitted proposed order and a separate judgment and must attach a copy of this ruling to the proposed order.

The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented, to be determined in consultation with the Department’s clerk by phone.

Plaintiffs' counsel are ordered to submit a compliance statement, preferably a declaration of the distributions by the administrator, at least ten court days before the compliance hearing date. Five percent of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

13. 1:30 PM CASE NUMBER: C23-02878
CASE NAME: GUADALUPE HARO VS. YEZENIA HARO
COMPLETE CONSOLIDATION OF CASE NO. C23-02878 WITH CASE NO. C26-00880
FILED BY: ZCA HOMES LLC
TENTATIVE RULING:

These two actions concern ownership of the same residential property. Defendant and plaintiff in intervention ZCA Homes LLC moves to consolidate the two actions for all purposes. The motion is unopposed, and it is well taken. The motion is therefore **granted**. The consolidated case will proceed under the older docket number (C23-02878) and will remain assigned for all purposes to Department 16.

14. 1:30 PM CASE NUMBER: C23-03161
CASE NAME: ALISCHA WILSON VS. INTEX RECREATION CORP.,
PERLIMINARY APPROVAL OF CLASS ACTION SETTLEMENT ADVANCED
FILED BY:
TENTATIVE RULING:

In its order of July 22, the Court directed the attorneys to resubmit an amended stipulation by August 19. No such amended stipulation has been filed. The motion for preliminary approval is therefore **continued** to September 30, 2026, at 9:00 a.m. The amended stipulation must be filed by September 18. If no stipulation can be reached, the attorneys should file a joint statement to the Court by that date, identifying the point(s) of disagreement and advising on the status of the proposed settlement.

15. 1:30 PM CASE NUMBER: C24-01011
CASE NAME: IDAHO PACIFIC LUMBER COMPANY, INC. VS. BIARRITZ RESOURCES, LLC
FILED BY IDAHO PACIFIC LUMBER COMPANY, INC.
FILED BY:
TENTATIVE RULING:

The motion for summary judgment or, in the alternative, summary adjudication, filed by plaintiff, Idaho Pacific Lumber Company, Inc. ("IdaPac") against The Cincinnati Insurance Company ("CIC"), is **denied**, as discussed below.

I. Background

CY Pittsburg Investors, LLC ("Owner") held title to the real property located at 1001 and 999 Center Drive, Pittsburg, California 94565 (identified as assessor's parcel number 086-100-047) from November, 2022 until July, 2024. (SSUMF, Fact. No. 1, and defendants' responses.) In February 2023,

Buffalo Construction, Inc. ("Buffalo") entered into a subcontract with Blackstone Development, Inc. for the construction of a work of improvement known as the "Courtyard by Marriott." (SSUMF, Fact. No. 2, and defendants' responses.) On April 3, 2023, IdaPac entered into a credit application with Biarritz Resources, LLC ("Biarritz"). (SSUMF, Fact. No. 3, and defendants' responses.) IdaPac and Biarritz executed an "Order Confirmation" dated May 11, 2023, pursuant to which Biarritz purchased lumber and other construction materials. (SSUMF, Fact. No. 4, and defendants' responses.)

The Order Confirmation provides that payment is due 30 days from the "cut-off date(s)" with a 1.5% monthly finance charge assessed of amounts past due. (SSUMF, Fact. No. 5, and defendants' responses.) Beginning May 26, 2023 and continuing through October 2023, IdaPac supplied materials that were incorporated into the project, and which were specifically furnished for use at the property, were actually used for the work of improvement at the property, and directly benefitted and improved the property, though for part of this time (August through October), the materials deliveries were made to another contractor who had replaced Blackstone after it was terminated. (SSUMF, Fact. No. 6, and defendants' responses.)

IdaPac contends, and CIC does not dispute, that IdaPac supplied Biarritz with the materials at the agreed upon price of \$863,037.68, and that such materials were reasonably valued at \$863,037.68. (SSUMF, Fact. No. 7, and CIC response.) Blackstone disputes this fact, asserting that any deliveries made from August through October were made to the replacement contractor, further that there is no evidence of any contract with that replacement contractor. (SSUMF, Fact. No. 7, and Blackstone's response.)

IdaPac invoiced Biarritz the cost of the materials. (SSUMF, Fact. No. 8, and defendants' responses.) IdaPac provided the first shipment on or around May 26, 2023. (SSUMF, Fact. No. 9, and defendants' responses.) On May 31, 2023, within 20 days of the date that IdaPac provided the first shipment, IdaPac caused to be served a Preliminary 20-Day Notice on the Owner, Buffalo, and Commercial Bank of California via certified mail with a return receipt. (SSUMF, Fact. No. 10, and defendants' responses.) The 20-Day Notice identified each recipient's name and address, described the site of the project, provided a general description of the work, listed the entity with whom IdaPac had contracted, and set forth an estimate of \$1,070,000.00 for the work. (SSUMF, Fact. No. 11, and defendants' responses.)

IdaPac contends that, after applying all offsets and credits, a principal amount of \$325,834.65 for that materials that IdaPac provided remains due and owing. (SSUMF, Fact. No. 12, and CIC response.) Blackstone disputes this fact, asserting that it was replaced by another contractor in August, and there is no evidence of any agreement with that contractor. (SSUMF, Fact. No. 12, and Blackstone's response.) IdaPac contends that the materials it supplied (after applying all appropriate offsets and credits) were reasonably valued at \$325,834.65. (SSUMF, Fact. No. 13, and CIC response.) Blackstone disputes this fact based on it having been replaced on the project. (SSUMF, Fact. No. 13, and Blackstone's response.)

On February 9, 2024, IdaPac recorded a mechanic's lien on the property at the Contra Costa Recorder's Office for the sum of \$325,834.65. (SSUMF, Fact. No. 14, and defendants' responses.) Within 30 days prior to recording the mechanic's lien, no notice of completion or notice of cessation of labor had been recorded. The Project was also not complete and labor on it was ongoing at the time IdaPac recorded its lien. (SSUMF, Fact. No. 15, and defendants' responses.) Buffalo obtained a Bond for Release of Mechanic's Lien from The Cincinnati Insurance Company for \$407,293.31, and recorded it on February 20, 2024 with the Contra Costa Recorder's Office. (SSUMF, Fact. No. 16, and

defendants' responses.)

IdaPac filed the complaint herein on April 10, 2024. (SSUMF, Fact. No. 17, and defendants' responses.) IdaPac contends that the interest it is owed from February 9, 2024 through the present hearing date (8/26/26), rounded down, totals \$58,052.12. (SSUMF, Fact. No. 18, and CIC response.) Blackstone disputes this fact, again based on it having been replaced on the project. (SSUMF, Fact. No. 18, and Blackstone's response.) On June 25, 2024 Blackstone answered, denying all material allegations. On September 25, 2024, CIC filed its answer, also generally denying all material allegations.

Plaintiff now moves for summary judgment "or, in the alternative, summary adjudication" to foreclose on its lien. (Because only the first cause of action is asserted against CIC, this motion is one for judgment against CIC; adjudication is not an "alternative" requiring any separate analysis.) In support of the motion, plaintiff submits a memorandum of points and authorities, a separate statement of undisputed material facts, declarations by Anthony Froyd and Sarah Soule, a request for judicial notice, and a declaration from counsel, Sean J. Filippini.

Both Blackstone and CIC have filed oppositions. They argue IdaPac is not entitled to a mechanics lien because it does not qualify as a "material supplier" or "subcontractor" under Civil Code, § 8400, which lists "persons entitled to lien right." In its reply papers, IdaPac objects to the evidence submitted in opposition and argues the Blackstone opposition papers should not be considered.

II. Standard

The party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that it is entitled to judgment as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850 (*Aguilar*), fn. omitted.) "[A] plaintiff bears the burden of persuasion that 'each element of' the 'cause of action' in question has been 'proved,' and hence that 'there is no defense' thereto. (Code Civ. Proc., § 437c, subd. (o)(1).)" (*Aguilar, supra*, 25 Cal.4th at 850.)

If the moving plaintiff meets its initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact, the burden shifts to the defendant "to make a prima facie showing of the existence of a triable issue of material fact." (*Aguilar, supra*, 25 Cal.4th at 850.) "There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Ibid.*, fn. omitted.)

A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

III. Evidentiary Matters

In support of the motion, plaintiff requests judicial notice of the two recorded quitclaim deeds (to the Owner and from the Owner). The request is **granted**.

CIC has requested judicial notice of (1) a complaint (without exhibits) filed by Blackstone Development Inc. in *Blackstone Development, Inc. v. Maxon, et al.*, Contra Costa Superior Court Case number C23-02317, and (2) a stipulation and order entered on May 10, 2025 in that same proceeding. The request is **granted**.

Plaintiff's objections to evidence are ruled on as follows:

1. Overruled
2. Overruled
3. Sustained - hearsay
4. Overruled
5. Overruled
6. Overruled
7. Overruled
8. Overruled
9. Overruled
10. Sustained - hearsay
11. (See No. 10)
12. (See No. 10)
13. (See No. 10)

IV. Discussion

A. Blackstone's Opposition Papers May Be Considered

IdaPac argues Blackstone lacks standing to oppose the motion here, and that its opposition papers may not be considered. The reply acknowledges that a recent appellate decision, *Bean v. City of Thousand Oaks* (2025) 114 Cal.App.5th 775, wherein the court held that a party not named in a cause of action may still oppose a summary judgment motion, but plaintiff argues that standing depends upon the opposing party having an "adverse interest." (*Id.*, at 783.) Here, Blackstone is a defendant in this action and the party that, according to plaintiff's own complaint, is an alter-ego of Biarritz, the company with whom plaintiff contracted for the amounts now claimed. Plaintiff alleges that Blackstone, among other defendants, has "refused to pay Plaintiff all of the amount owed." (Complaint, ¶13.) Any finding in plaintiff's favor here would likely be binding on Blackstone under principles of collateral estoppel. Accordingly, the Court finds Blackstone to be a sufficiently "adverse party" to permit it standing to oppose summary judgment.

B. Initial Burden

IdaPac contends its burden here consists of showing:

- (1) It provided materials for a "work of improvement" to real property;
- (2) it held a California contractor's license to perform the work;
- (3) it gave preliminary notice to the owner before beginning work;
- (4) The value of the labor or materials provided;
- (5) That a mechanic's lien was duly recorded; and
- (6) That an action to foreclose the lien and/or enforce the Bond was timely filed.

(Memorandum of Points and Authorities in Support of Motion, 6:18-26.)

This characterization glazes over the statutory definition for who is entitled to a mechanic's lien. The full text of California Civil Code, section 8400 (which appears under the title, "persons

entitled to lien right”), is as follows:

A person that provides work authorized for a work of improvement, including, but not limited to, the following persons, has a lien right under this chapter:

- (a) Direct contractor.
- (b) Subcontractor.
- (c) Material supplier.
- (d) Equipment lessor.
- (e) Laborer.
- (f) Design professional.

California Civil Code, section 8404, goes on to define what is meant by the phrase, “work authorized for a work of improvement,” appearing in section 8400. Section 8404 states:

Work is authorized for a work of improvement or for a site improvement in any of the following circumstances:

- (a) It is provided at the request of or agreed to by the owner.
- (b) It is provided or authorized by a direct contractor, subcontractor, architect, project manager, or other person having charge of all or part of the work of improvement or site improvement.

California Civil Code, section 8046, specifies that a “subcontractor” is “a contractor that does not have a direct contractual relationship with an owner.” It goes on to note that this “includes a contractor that has a contractual relationship *with a direct contractor or with another subcontractor.*” (Emphasis added.)

Parties appear to agree that a “material supplier who supplies a subcontractor with materials is entitled to the benefits of the lien law.” (Reply, 4:8-10, citing Opposition, 7:5-6.) They also appear to agree that if Biarritz is a subcontractor, IdaPac is unquestionably a material supplier with lien rights.

IdaPac does not directly admit that *absent* Biarritz being a subcontractor, it has *no* lien rights, but through the discussion of alter ego, IdaPac appears to recognize the requirement.

As IdaPac points out, there is evidence to this point. (See Declaration of Anthony Froyd in Support of Motion, Compendium Ex. 3, hereinafter “Froyd Decl.,” Ex. D [Order Confirmation with “Joint Check Agreement” on page 10]; Declaration of Sarah Soule in Support of Motion, Compendium Ex. 2, ¶¶3-5 [stating IdaPac viewed the Joint Check Agreement referring to Biarritz as “subcontractor” as a representation that it was a subcontractor].)

Looking just to the evidence presented in support of the moving papers, however, this evidence is not without some contradiction. Other papers submitted by IdaPac show Biarritz was not actually a subcontractor. For example, the Owner’s contract for construction of a Courtyard by Marriott hotel was with general contractor Buffalo, not Blackstone or Biarritz. The subcontract through which IdaPac claims rights is between Buffalo and Blackstone, not Buffalo and Biarritz. (Froyd Decl., Ex. B.) Biarritz itself was a supplier or “contract wholesaler,” not necessarily a subcontractor. (Froyd Decl., Ex. C [credit application]; *Slatkin v. White* (2002) 102 Cal.App.4th 963, 968).

Even without considering the opposition papers, the moving papers do not sufficiently

establish that Biarritz was a subcontractor as a matter of law.

Notably, IdaPac appears to anticipate that CIC's dispute that Biarritz was a subcontractor and offers alter ego evidence. If such a showing is required to show Biarritz is a subcontractor (and it is), IdaPac's contention that alter ego is *not* part of the initial burden is incorrect. The omission of the alter ego showing from the separate statement is, as a matter of procedure, an impediment to granting judgment here.

C. Disputes of Material Fact

Even if the Court were to conclude that IdaPac had met its initial burden (it has not), the opposing papers demonstrate material factual disputes with respect to the issue of alter ego liability. Anthony Froyd, whose declaration here is key to showing alter ego, previously testified at deposition that Blackstone and Biarritz are *separate* companies. (CIC response to SSUMF, Additional Fact Nos. 43-44.)

While IdaPac objects to the testimony on hearsay grounds, and on the grounds that deposition excerpt does not satisfy requirements for the "former testimony" exception, the testimony falls under another exception as it constitutes a "prior inconsistent statement" pursuant to Evidence Code, section 1235. Further, the testimony directly contradicts Froyd's statements that support an alter ego theory.

Because IdaPac has shown that it provided materials pursuant to a contract with Biarritz, which is not necessarily a subcontractor, it remains a question of fact whether IdaPac was instructed to provide materials by anyone described in Civil Code section 8404, subdivision (b).

Though the Court need not reach the question in this ruling, assuming IdaPac can establish a theory of alter ego liability, IdaPac will still be required to establish that it can assert such theory (involving the lack of separate identity between Blackstone and Biarritz) against Buffalo, which CIC contends was an "innocent third party."

16. 1:30 PM CASE NUMBER: C24-03039

CASE NAME: MELANIE ROSE VS. FIRST WALNUT CREEK MUTUAL

***HEARING ON MOTION IN RE: RECONSIDER COURT'S SUA SPONTE CONSOLIDATION ORDER OR ALTERNATIVE RELIEF UNDER CCP 473(B)**

FILED BY: ROSE, MELANIE

TENTATIVE RULING:

Introduction

Before the Court is Plaintiff Melanie Rose's Motion Reconsideration of the Court's January 26, 2026, sua sponte order consolidating Case No. C24-03039 with Case No. C25-02665, which was made during a case management conference.

For the reasons set forth below Plaintiff's Motion for Reconsideration is **denied**. The Court clarifies that Case No. C24-03039 and Case No. C25-02665 are **consolidated only for the purposes of trial**.

Procedural and Factual Background

During a case management conference on January 26, 2026, the Court, on its own motion, issued an order to consolidate Case No. C24-03039 with Case No. C25-02665, which was made during a case

management conference.

Plaintiff filed her original Complaint in Case No. C24-03039 against First Walnut Creek Mutual on November 12, 2024 (Occupancy Case). The gravamen of this suit is Defendant First Walnut Creek Mutual's denying Plaintiff's continued occupancy, which she applied for in April 2022, because of her age and violating Plaintiff's occupancy rights secured by Civil Code 51.3(e) via threats to sell her home, followed by sustained retaliation.

Plaintiff filed her original Complaint in Case No. C25-02665 against Golden Rain Foundation of Walnut Creek on November 19, 2025 (Fee Policy Case). The gravamen of this suit is Golden Rain Foundation's differential membership transfer fee (MTF) Policy 102.4c. GRF's corporate policy provides a fee exemption only to those who inherit their membership from a spouse or domestic partner and in December 2022, Plaintiff was denied this fee exemption, because she inherited her membership from a parent and not from GRF's stated preference of spouse.

Standard of Review

Code of Civil Procedure section 1008(a) provides that a party affected by a prior court order may, "based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order." (Cal. Code Civ. Proc. § 1008(a).) Such an application must be accompanied by an affidavit that states "what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown." (*Ibid.*)

However, a trial court has inherent power to reconsider its own interim rulings even in the absence of a change in law or new or different facts or circumstances. (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 237; *Brown, Winfield & Canzoneri, Inc. v. Superior Court* (2010) 47 Cal.4th 1233, 1248 ("*Brown*").) "This authority derives from the judiciary's fundamental, constitutionally mandated function to resolve specific controversies between the parties." (*Brown*, 47 Cal.4th at 1248.)

Analysis

Timeliness

Plaintiff posits that her motion is filed timely because the statutory deadline for filing a motion to reconsider under CCP § 1008(a) has not yet been triggered. A Notice of Entry of Order was not filed in either case. Plaintiff claims that she did not waive notice and has not been served a Notice of Entry of Order, or the Minute Order by any of the parties or the Court. The Court does not see any proof of service of the Minute Order on file. Defendant First Walnut Creek Mutual's opposition is silent as to this argument. The Court considers Plaintiff's motion timely.

Consolidation

If there are pending actions before the court that involve "a common question of law or fact," section 1048 permits the trial court to "order a joint hearing or trial" or to "order all the actions consolidated." (§ 1048, subd. (a).) "Under the statute and the case law, there are thus two types of consolidation: a consolidation for purposes of trial only, where the two actions remain otherwise separate; and a complete consolidation or consolidation for all purposes." (*Hamilton v. Asbestos Corp.* (2000) 22 Cal.4th 1127, 1147.)

Common Question of Law or Fact

There are common questions of law and fact between the two cases. Both cases share significant facts because they both share the same triggering event, Plaintiff's inheritance of her mother's property. Both cases share common questions of law because both allege violations of the Unruh Civil Rights Act and Fair Employment and Housing Act (FEHA). The main difference is that Plaintiff complains about both age and marital status discrimination in the Occupancy Case and complains of marital status discrimination in the Fee Policy Case.

Two Types of Consolidation

When two actions are consolidated "for all purposes," "the two actions are merged into a single proceeding under one case number and result in only one verdict or set of findings and one judgment." (*Hamilton v. Asbestos Corp.*, *supra*, 22 Cal.4th at p. 1147; see *Sanchez v. Superior Court* (1988) 203 Cal.App.3d 1391, 1396 ["the pleadings are regarded as merged, one set of findings is made, and one judgment is rendered"].) And "'for the purposes of all further proceedings, the cases are to be treated as if the causes had been united originally.'" (*McClure v. Donovan* (1949) 33 Cal.2d 717, 722.) "In other words, the actions are viewed as if the same plaintiff or plaintiffs had filed a single complaint on joined causes of action against the same defendant or defendants." (*Villa Zinfandel, LLC v. Bearman* (2025) 116 Cal.App.5th 848, 862-863; citing 4 Witkin, Cal. Procedure (6th ed. 2023), Pleading, § 360.)

The January 26, 2026, minutes does not specify if the cases are consolidated for all purposes or are consolidated for trial only. (C25-02665 January 26, 2026, Minute Order.)

Both cases revolve around the same triggering event of Plaintiff's inheritance of her mother's real property. Plaintiff accurately points out that the Defendants are different in each case and the causes of action against each of them require different evidence with some overlap. These differences are enough for the Court to clarify its January 26, 2026, order to order C25-02665 consolidated with the lead case C24-03039 for the purposes of trial only.

Conclusion

Plaintiff's Motion for Reconsideration is **denied**. The Court clarifies that Case No. C24-03039 and Case No. C25-02665 are **consolidated only for the purposes of trial**.

17. 1:30 PM CASE NUMBER: C25-00195
CASE NAME: STATE FARM GENERAL INSURANCE COMPANY VS. DOES 1-20
***HEARING ON MOTION IN RE: LEAVE TO INTERVENE**
FILED BY: STATE FARM GENERAL INSURANCE COMPANY
TENTATIVE RULING:

This case arises out of alleged water damage resulting from a cracked pipe, occurring at the property of Jay and Stephanie Snyder. The case was filed by their insurer, State Farm, as a subrogation action. In this motion, the Snyders seek to intervene as plaintiffs, seeking to recover out-of-pocket losses not covered by State Farm. The motion is **unopposed**, and indeed it is unexplained why it was not stipulated. The motion is **granted**.

Moving party shall prepare a proposed order that conforms to this ruling, attaching a copy of this

tentative ruling.

The Snyders are ordered to file and serve their complaint in intervention no later than fourteen (14) days from of entry of this order.

18. 1:30 PM CASE NUMBER: C26-00183
CASE NAME: AURA MANAGEMENT CO. VS. ERIC DOLL
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF COMPLAINT**
FILED BY: DOLL, ERIC
TENTATIVE RULING:

See line 19, below.

19. 1:30 PM CASE NUMBER: C26-00183
CASE NAME: AURA MANAGEMENT CO. VS. ERIC DOLL
HEARING ON DEMURRER TO: COMPLAINT
FILED BY:
TENTATIVE RULING:

Summary

Defendants Eric Doll and Venbrook Group, LLC's Demurrer to the Complaint is **overruled**.

Defendants' Motion to Strike the prayer for injunctive relief in Paragraph 63 is **granted** with 20 days' leave to amend. In all other respects, the Motion to Strike is **denied**.

Plaintiffs shall prepare the order and file and serve notice of entry of order.

Background

Plaintiffs Vision of Success, Inc., Bay Area Gold Standard Management, Inc., and Aura Management Co. operate and manage "convenience-store-related" businesses in California (Compl. ¶ 12). Defendants are insurance broker Eric Doll and insurance brokerage firm Venbrook Group, LLC, Doll's employer. This dispute arises from Defendants' alleged marketing and placement of Plaintiffs into a purported "captive" workers' compensation insurance program that Defendants represented would reduce Plaintiffs' premiums and improve Plaintiffs' risk profile, but which Defendants allegedly procured using inaccurate payroll and exposure assumptions. Plaintiffs allege Defendants induced them to purchase the program and make related financial commitments by materially understating Plaintiffs' payroll and exposures and by withholding material information, including the true premium risk and Defendants' financial incentives and commissions.

Plaintiffs allege that after relying on Defendants' representations, Plaintiffs were assessed audit results and premium demands far in excess of what Defendants had quoted and represented, alongside

additional program costs including required collateral and stock purchase commitments. Plaintiffs allege they suffered substantial damages, including unexpected premium liabilities, loss of cash due to collateral and stock purchases, costs and fees, lost opportunities, and related economic harm.

Plaintiffs filed this action against Defendants on January 20, 2026, asserting causes of action for intentional misrepresentation, concealment, negligent misrepresentation, professional negligence, breach of fiduciary duty and constructive fraud, and violations of Business and Professions Code section 17200, seeking compensatory damages, punitive damages, restitution and injunctive relief.

Defendants now demur to the Complaint, arguing that all causes of action are time-barred, that Plaintiffs have not sufficiently alleged delayed discovery, that Plaintiffs fail to allege sufficient facts to state fraud-based claims, and that the Complaint fails to state a UCL claim. Defendants also separately move to strike the prayers for punitive damages, restitution, and injunctive relief. Plaintiffs oppose both motions.

Meet and Confer

Before filing a demurrer or motion to strike, the parties must "meet and confer in person, by telephone, or by video conference." (Code Civ. Proc., § 430.41, subd. (a) & § 435.5, subd. (a).)

Defendants complied with the statutory meet-and-confer requirements. (See Declaration of Karen E. Adelman, ¶¶ 2-6.)

Standards on Demurrer

A demurrer tests the legal sufficiency of a pleading. (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal. App. 4th 1457, 1469.) When reviewing a demurrer, the court "give[s] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) The court "treats the demurrer as admitting all material facts properly pleaded. The court does not, however, assume the truth of contentions, deductions or conclusions of law." (*Durell v. Sharp Healthcare* (2010) 183 Cal. App. 4th 1350, 1358.) The court's analysis is limited to the complaint, exhibits attached to the complaint and incorporated by reference, and matters properly subject to judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal. App. 4th 968, 994.)

"A demurrer for uncertainty is disfavored and will be strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822.)

Uncertainty

Defendant's Special Demurrer on the grounds of uncertainty is overruled.

A special demurrer lies only when the pleading is so incomprehensible that the defendant cannot reasonably determine what issues must be admitted or denied. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) The complaint provides adequate notice to Defendants of the claims against them, and any remaining ambiguities can be resolved through discovery. (*Ibid.*)

Statute of Limitations and Delayed Discovery

Defendants argue all claims are time-barred because the alleged solicitation and policy placement occurred in 2021–2022, while Plaintiffs did not file suit until January 2026. Per Defendants' calculation, the two-year statute of limitations for professional negligence, negligent misrepresentation, and breach of fiduciary duty (Code Civ. Proc., § 339, subd. (1)) expired in 2023 or 2024; the three-year period for intentional misrepresentation and concealment (Code Civ. Proc., § 338, subd. (d)) expired in 2024 or 2025; and the four-year period for unfair competition (Bus. & Prof. Code, § 17208) expired before Plaintiff filed the complaint. Defendants also argue that Plaintiffs cannot rely on delayed discovery because they do not state the time and manner of discovery and essentially admit to prior notice of their claims by alleging that they did not know the "full scope" or "magnitude" of the misrepresentations until audit results in late 2024 or 2025. (MPA 9:11–15, citing Compl. ¶ 32.)

Resolution of a statute of limitations issue is normally a question of fact. (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 810.) To that end, "[a] demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971–972.) A cause of action accrues "when [it] is complete with all of its elements"—those elements being wrongdoing, harm, and causation." (*Pooshs v. Philip Morris USA, Inc.* (2011) 51 Cal.4th 788, 797.)

Here, no statute of limitations bar clearly and affirmatively appears on the face of the complaint. First, Defendants assert that Paragraph 25 shows Plaintiffs were aware of their claims outside the limitations period because they allege they received audit outcomes and premium assessments "after placement." However, Paragraph 25 contains no specific dates. Defendants conflate the alleged 2021–2022 solicitation period (Compl. ¶ 14) with the receipt of subsequent audit outcomes and premium assessments. (Compl. ¶ 25.) Because the complaint does not allege that the audits occurred outside the applicable statutory periods, no defect appears on the face of the complaint.

Second, while Defendants argue that Paragraph 32's reference to the "full scope" of the misrepresentations and the "magnitude of the variance" is an admission of earlier awareness of a claim against Venbrook, the complaint contains no allegation that Plaintiffs had prior knowledge or suspicion before they received audit determinations. Reading Paragraphs 31 and 32 together, Plaintiffs allege the misrepresentations were undiscoverable at placement and first came to light with the audit demands in late 2024 or 2025. On demurrer, the Court must accept as true not only the facts expressly alleged, but also those that may be reasonably inferred from the facts in the plaintiff's favor. (*Lazar v. Hertz Corp.* (1999) 69 Cal.App.4th 1494, 1501 (Lazar).) Accepting the assertion that Plaintiffs had earlier suspicions of wrongdoing would require drawing inferences against the pleader, which the Court cannot do on demurrer.

The demurrer on statute of limitations grounds is overruled.

Sufficiency of Fraud-Based Claims

Defendants challenge the first, second, third, and fifth causes of action for intentional misrepresentation, concealment, negligent misrepresentation, and constructive fraud. Specifically, Defendants argue that Plaintiffs fail to plead the claims with heightened particularity, rely on non-actionable opinions, fail to allege intent for concealment, and fail to adequately plead reliance.

Specificity and False Representation of Fact

The elements of intentional misrepresentation are: (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Lazar, supra*, 12 Cal.4th at 638.) Where a corporate defendant is charged, the plaintiff must allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what was said, and when. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

The Complaint satisfies this standard. Plaintiffs specifically identify Defendant Eric Doll, a Senior Vice President of Venbrook, who solicited Plaintiffs in 2021-2022 for an AIG-related captive program. (Compl. ¶¶ 7-8, 14-15.) For the misrepresentation, Plaintiffs allege Defendants provided a quote/illustration estimating payroll at \$5,286,196 and a premium of \$171,348, despite having access to Plaintiffs' true payroll records and data showing exposures closer to \$7,000,000. (*Id.* ¶¶ 17-20, 26.) Plaintiffs further plead that Defendants knew these figures were inaccurate and used them to induce Plaintiffs into the captive program to generate broker commissions. (*Id.* ¶¶ 1, 21, 24, 35-37, 60.)

Opinion vs. Fact

Defendants' argument that these statements constitute non-actionable opinions or predictions about future audit assessments is unpersuasive. Plaintiffs do not allege speculative future forecasts; they allege affirmative misrepresentations of existing facts by using an artificially suppressed payroll figure despite possessing contrary historical data. (Compl. ¶¶ 16-20.) While predictions of future events are generally non-actionable, representations regarding existing, underlying data are actionable statements of fact.

Here, Paragraph 34 alleges that the existing payroll and exposure assumptions underlying the quote were accurate or well grounded, and Paragraphs 16 through 20 allege the quote was presented as the product of a promised analysis of then existing payroll, exposure, and loss information. (Compl. ¶¶ 16(a)-(b), 17-20, 34-35.) Whether the quote provided to Plaintiffs was grounded in the data then available is capable of verification.

Concealment and Negligent Misrepresentation (Second and Third Causes of Action)

Defendants argue the second cause of action fails because Plaintiffs plead only "unmet expectations" without demonstrating contemporaneous intent not to perform under promissory fraud principles. (MPA 14:10-15:15.) However, Plaintiffs do not base their claim on false promises of future performance, but on the suppression of existing material facts during the 2021-2022 solicitation and placement process. (Compl. ¶¶ 14-24, 40.) Specifically, Paragraph 41 identifies the concealed matters: (1) that the quote's payroll and exposure assumptions were understated and inconsistent with available data; (2) the true likelihood of a major audit-driven premium increase; (3) Defendants' commissions and other remuneration connected to program participation; and (4) material

limitations, risks, or obstacles concerning return or redemption of collateral and stock. (*Id.* ¶ 41(a)–(d).)

Plaintiffs also adequately plead a duty to disclose. A duty to disclose may arise when a defendant has exclusive knowledge of material facts, actively conceals a material fact, or makes partial representations while suppressing other material facts in a transaction between the parties. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–337; *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.) Paragraph 42 alleges a duty to disclose because Defendants possessed superior knowledge, held themselves out as experts, and made partial representations that were misleading without full disclosure. (Compl. ¶ 42.)

For the third cause of action, allegations establishing intentional misrepresentation necessarily satisfy the lesser standard of negligent misrepresentation. Plaintiffs also allege Defendants lacked reasonable grounds for believing their representations were true given the information Plaintiffs provided and the underwriting/payroll information Defendants had access to. (Compl. ¶ 48.)

Constructive Fraud and Breach of Fiduciary Duty (Fifth Cause of Action)

Constructive fraud consists of any breach of duty by which one gains an advantage by misleading another to its prejudice, and does not require an intentional false promise or intent to deceive. (Civ. Code, § 1573; *Assilzadeh v. Cal. Fed. Bank* (2000) 82 Cal.App.4th 399, 415.)

Defendants argue the fifth cause of action fails to satisfy the heightened standard for constructive fraud because Paragraph 56 fails to identify when facts were concealed, which Defendants concealed facts from which Plaintiffs, what specific facts were concealed beyond "material information and conflicts," and how they were concealed. (MPA 18:1-1:17.) Defendants do not argue that no fiduciary relationship could arise on the facts.

The Court finds the fifth cause of action is sufficiently pled. Paragraph 56 incorporates all prior factual allegations of the complaint. (Compl. ¶ 54.) Those allegations identify Defendant Eric Doll, Senior Vice President of Venbrook, as the individual who directly solicited and advised Plaintiffs in 2021-2022, provided quotes using understated payroll baselines, and suppressed material facts regarding premium risks, audit assessments, and broker commissions. (*Id.* ¶¶ 7, 8 14-26, 41.) Plaintiffs do not need to identify which of their own personnel dealt with Defendants to state a claim.

Actual and Justifiable Reliance

Finally, Defendants argue that Plaintiffs fail to plead actual and justifiable reliance to support their fraud-based claims. This argument is unpersuasive.

Reliance on *Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, *Mirkin v. Wasserman* (1993) 5 Cal.4th 1082, and *Reeder v. Specialized Loan Servicing LLC* (2020) 52 Cal.App.5th 795 is misplaced. *Cadlo* and *Mirkin* involved third parties who never received or read the alleged misrepresentations, whereas here the complaint alleges direct communications between the parties (and Plaintiffs were not required to identify every internal employee who handled the paperwork to show the corporate entities received the representations). Nor is *Reeder* on point. Defendants cite *Reeder* to argue that reliance on predictions regarding future audit assessments or third-party insurers is unjustifiable as a

matter of law. But *Reeder* involved the promise of a loan refinancing ten years in the future without any specified terms, which the court held was inherently unreasonable to rely on. Plaintiffs do not allege an open-ended promise of future performance, they allege reliance on specific figures provided by their broker for immediate placement into Defendants' insurance program.

The complaint describes the actions Plaintiffs took based on Defendants' representations by entering the Captive Program, binding coverage, paying initial premiums, posting \$75,000 in collateral, and buying \$36,000 in program stock. (Compl. ¶¶ 22-23.) Plaintiffs allege that had the true facts been known, they would not have entered the program or made these financial commitments. (*Id.* ¶¶ 37, 43.) Plaintiffs' allegations sufficiently establish reliance at the pleading stage, and whether Plaintiffs were justified in relying on Defendants' representations presents a question of fact.

Accordingly, the demurrer to the first, second, third, and fifth causes of action is overruled.

Sufficiency of the Unfair Competition Claim (Sixth Cause of Action)

The UCL prohibits "any unlawful, unfair or fraudulent business act or practice" (Bus. & Prof. Code, § 17200.) An unlawful business practice under section 17200 is "an act or practice, committed pursuant to business activity, that is at the same time forbidden by law." (*Progressive West Ins. Co. v. Superior Court* (2005) 135 Cal.App.4th 263, 287 [cleaned up].) Thus, "[b]y proscribing 'any unlawful' business practice, 'section 17200 'borrows' violations of other laws and treats them as unlawful practices' that the [UCL] makes independently actionable." (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Tel. Co.* (1999) 20 Cal.4th 163, 180.)

Where a UCL claim is derivative of other substantive claims, the UCL claim "rises or falls" with the viability of the underlying causes of action. (*See People ex rel. Allstate Ins. Co. v. Discovery Radiology Physicians, P.C.* (2023) 94 Cal.App.5th 521, 548.) Because the Court finds that Plaintiffs have sufficiently stated their fraud-based claims, the derivative UCL claim is likewise supported.

Defendants also argue that the sixth cause of action fails as against Venbrook because Venbrook's liability is based entirely on the theory of respondeat superior and "an unfair practices claim cannot be based on vicarious liability, but must contain an element of the defendant's personal 'participation in the unlawful practices' and 'unbridled control' over the practices that are found to violate section 17200 or 17500." (See MPA, 20:12-17, citing *In re Firearm Cases* (2005) 126 Cal.App.4th 959.) Defendants cite to *Emery v. Visa Internat. Service Assn.* (2002) 95 Cal.App.4th 952 on reply for the same proposition.

In re Firearm Cases dealt with whether gun manufacturers could be held liable under the UCL for downstream criminal acts committed by third parties. As the court noted on summary judgment, plaintiffs failed to present any evidentiary link showing that the manufacturers' own lawful business practices caused the third parties' illegal conduct. (*Id.* at pp. 985, 991.) In *Emery*, the discussion involved whether a corporation (VISA) could be held liable for the acts of merchants with which it had no relationship and over which it had no control. (*Emery, supra*, 95 Cal.App.4th 952.) The *Emery* court also noted that the evidence showed that VISA was unaware of the acts of these merchants. Unsurprisingly, the court found no basis to hold VISA liable.

Given these differences, neither *In re Firearm Cases* nor *Emery* supports Defendants' position.

Moreover, in opposition, Plaintiffs argue the UCL claim is properly stated against Venbrook based on allegations that Doll acted within the scope of his agency as its Senior Vice President, and that Venbrook “authorized, ratified, and directly benefited from” the fraudulent placement through commissions and fees. (Compl. ¶¶ 7-8, 28-30.) Defendants cite no authority holding that a corporation avoids UCL liability when it authorizes, ratifies, and profits from the misconduct of a corporate officer.

Accordingly, the demurrer to the sixth cause of action is overruled.

Motion to Strike

Defendants’ motion to strike is **granted in part** and **denied in part** as follows.

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436.) “Immaterial” or “irrelevant” matters include allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim, or a demand for judgment requesting relief not supported by the allegations of the complaint. (*Id.* § 431.10, subds. (b)(1)-(3).)

Defendants move to strike: (1) the punitive damages allegations supporting the intentional tort claims; and (2) the requests for disgorgement and injunctive relief on the Fifth (breach of fiduciary duty/constructive fraud) and Sixth (UCL) causes of action.

Defendants argue the fraud claims cannot support punitive damages because they are insufficiently pled as asserted in the demurrer. However, since the Court has concluded that the fraud claims are sufficiently pled, the motion to strike punitive damages must be denied for the same reasons the demurrer is overruled. (See, e.g. *Johnson v. Ford Motor Co.* (2005) 35 Cal. 4th 1191.) Fraud is a cause of action which provides a basis for punitive damages. (Civil Code § 3294.)

As to disgorgement under the fifth cause of action for breach of fiduciary duty (Compl. ¶ 58), disgorgement of wrongful gains and profits is an authorized equitable remedy. (*Meister v. Mensinger* (2014) 230 Cal.App.4th 381, 396-399.) As for disgorgement as a remedy on the UCL claim, Plaintiff seeks disgorgement of sums that are restitutionary in nature, i.e., those that were “wrongfully obtained” from plaintiffs as the result of the UCL violation alleged in this case. (Compl. ¶¶ 29, 60, 62, 63.) Therefore, disgorgement is an appropriate remedy under section 17200. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1144.) Thus, the motion is denied with respect to the prayer for disgorgement, though the Court limits the UCL prayer to restitutionary disgorgement only.

However, the request to strike the prayer for injunctive relief under the UCL is granted. As noted by the Court in *Davis v. Farmers Ins. Exchange* (2016) 245 Cal.App.4th 1302, “[i]n order to grant injunctive relief under the UCL, ‘there must be a threat that the wrongful conduct will continue.’” (*Id.* at pp. 1326–1327.) “Injunctive relief will be denied if, at the time of the order of judgment, there is no reasonable probability that the past acts complained of will recur” (*Id.* at p. 1327.) Plaintiffs seek “injunctive relief prohibiting Defendants from engaging in the same or similar practices.” (Compl. ¶ 63.) Because the complaint alleges completed transactions occurring in 2021–2022 without alleging

facts demonstrating a threat of continuing or recurring wrongful conduct, the request for permanent injunctive relief is improper.

Accordingly, the motion to strike the prayer for injunctive relief in paragraph 63 is granted with 20 days' leave to amend. In all other respects, the motion is denied.

Order

Defendants Eric Doll and Venbrook Group, LLC's Demurrer to the Complaint is **overruled**.

Defendants' Motion to Strike the prayer for injunctive relief in Paragraph 63 is **granted with 20 days' leave to amend**. In all other respects, the Motion to Strike is **denied**.

20. 1:30 PM CASE NUMBER: C26-00192
CASE NAME: ATHENA PLASSAS VS. PLANNED PARENTHOOD SHASTA-DIABLO INC
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: PLANNED PARENTHOOD SHASTA-DIABLO INC
TENTATIVE RULING:

This is a purported class action arising out of an alleged data breach of national scope. There are several other actions pending around the country arising out of the same incident, some in federal court. The parties have stipulated to **continue** this demurrer, and the related motion to stay (Line 21), to November 4, 2026.

21. 1:30 PM CASE NUMBER: C26-00192
CASE NAME: ATHENA PLASSAS VS. PLANNED PARENTHOOD SHASTA-DIABLO INC
***HEARING ON MOTION IN RE: STAY PROCEEDINGS PENDING RULING ON DEMURRER**
FILED BY: PLANNED PARENTHOOD SHASTA-DIABLO INC
TENTATIVE RULING:

See Line 20.

22. 1:30 PM CASE NUMBER: L24-00235

CASE NAME: LVNV FUNDING LLC VS. JANINAH ROMERO

***HEARING ON MOTION IN RE: TO VACATE ENTRY OF DEFAULT AND DEFAULT JUDGMENT**

FILED BY: ROMERO, JANINAH A

TENTATIVE RULING:

This is a debt collection action filed by a debt buyer. A default judgment was entered in December 2025 against defendant Janinah Romero. Romero now moves to vacate the default and default judgment. However, the Court can find no proof or indication that Romero's motion was served on plaintiff or its counsel. Plaintiff has filed no response to the motion and it appears likely that it is unaware of the motion.

The motion is therefore **continued** to October 7, 2026, at 9:00 a.m. Romero must file a proof of service of the motion by September 9, and plaintiff's response, if any, will be due by September 23, 2026.

23. 1:30 PM CASE NUMBER: MSC16-01426

CASE NAME: RICHMOND COMPASSIONATE VS RICH PAT GROUP

***HEARING ON MOTION IN RE: MOTION TO SELL THE BUSINESSES TO THE RECEIVER (FURTHER HEARING)**

FILED BY:

TENTATIVE RULING:

Plaintiff Richmond Compassionate Care Collective's motion authorizing direct sale of receivership collateral to receiver is **denied**.

The Receiver Garib Karapentyan of Capitol Compliance Management was appointed as successor receiver over some of the Defendants' businesses. The receiver is an interested party and an owner of the Plaintiff.

The receiver is seeking an order authorizing the transfer of the Defendants' businesses currently collateral in the receivership directly to Capitol Compliance Management. In exchange, the receiver proposes to extinguish his claims for all accrued and unpaid receiver compensation and the receiver's certificate no. 2. The receiver's certificate no.1 to Andrew Provencio shall remain in effect. The receiver proposes that the attorney fee lien for \$5,000,000 held by the Plaintiff's attorney and any outstanding tax obligations shall be preserved. The Receiver proposed extinguishing all other claims against the collateral. The Court has also considered the alternative option where the receiver transfers the businesses to himself subject to all liens and debts.

After the first hearing, the Court issued an order denying the receiver's request to transfer the businesses to himself and extinguish most of the claims against the businesses. In that order, the Court ordered Plaintiff to provide notice to third parties that might have an interest. The Court also

requested briefing on what are the various priorities here. The Court also asked, “If the Court approves a transfer of the business to the Receiver, how would these priority groups receive timely payment?” The Court has reviewed the supplemental briefings and filings.

“A receiver is an agent and officer of the court, and is under the control and supervision of the court. (Code Civ. Proc., § 568; Cal. Rules of Court, rule 3.1179.) The receiver is also a fiduciary who must act for the benefit of all parties interested in the property. (*Shannon v. Superior Court* (1990) 217 Cal.App.3d 986, 992.)” (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685.)

“[T]he advice of the receiver and his opinion in regard to the value of the property, the manner, time and place of its disposition are entitled to great respect and weight. [Citations.]” (*People v. Riverside University* (1973) 35 Cal.App.3d 572, 583.) This general rule is unlikely to apply here, where the receiver’s proposed sale to himself raises questions about self-dealing.

The receiver’s request to transfer the businesses to himself raises questions. It could presumably happen if the liabilities occurred in the receivership have been paid off, but without a plan to pay off those debts there is a potential for an inequitable result.

“Generally, the costs of a receivership are paid from the property in the receivership estate. (See *Andrade v. Andrade* (1932) 216 Cal. 108, 110; *McCarthy v. Poulsen* (1985) 173 Cal.App.3d 1212, 1219–1220, fn. 3.) However, courts may also impose the receiver costs on a party who sought the appointment of the receiver or ‘ “apportion them among the parties, depending upon circumstances.”’” (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685–686; see also *Baldwin v. Baldwin* (1947) 82 Cal.App.2d 851, 855.)

Here, the Court can charge the receivership’s fees to the Plaintiff and as such, the receiver’s offer to waive his fees in exchange for the businesses is not sufficient consideration. The Court has not received a satisfactory explanation for how priority groups would be paid and there is still significant disagreement about how the priority of the debts and liabilities are treated in regards to the other liabilities and the judgment. Without such a plan to pay off the outstanding liabilities and debts, the Court cannot permit the receivership businesses to be transferred to the receiver in exchange for a waiver of receivership compensation. This motion is denied.

Therefore, it appears that the businesses must be wound down. Ideally, the businesses would be sold as operating businesses, but if that is no longer an option (as may well be the case) then the assets of the business should be sold. To ensure fairness in the sale process, the receiver, the plaintiff, plaintiff’s attorney, any business these parties have an ownership interest in and their agents shall not be permitted to purchase the businesses or any of their assets. If the receiver believes that these prohibitions will limit the ability to sell the assets to the highest bidder, the receiver may find a neutral third party to take over the sale process and bringing a request to the Court to change this portion of the ruling.

The Court is open to suggestions, but the Court's initial plan is that once all of the assets are sold, the Court will determine the payment priorities. If there are more debts and unpaid claims incurred during the receivership than funds to pay them off entirely, then the Court will determine an equitable method for distributing payments.

The Court is also considering appointing an expert to assist the Court in determining legal priorities in this case and providing a practical solution on how to handle the various liabilities when there are insufficient funds. The Court has yet to receive a sufficient discussion, with appropriate legal citations, from the parties on priorities in a receivership.

Some priorities such as employee wages and taxes are clear. Employee wages and benefits have the highest priority and must be paid promptly. (Civil Code section 1204.) In addition, state sales taxes appear to have a superior priority and are entitled to be paid after wages. (*Stewart v. State* (1969) 272 Cal.App.2d 345, 351; Rev. & Tax Code 6756). The Court has not specifically researched the priority of federal taxes as there is no showing that those are outstanding, but case law states that a "receiver is personally liable to the United States to the extent he pays other creditors when there are debts owing to the United States..." (*Stewart, supra*, 272 Cal.App.2d 345, 348-349.)

Still, there are unanswered questions about what priority the unpaid rent belongs and how it should be treated. In addition, there are numerous other unpaid liabilities and there is a very real possibility that there will be insufficient funds to pay all receivership liabilities.

The Court is still concerned about the \$400,000 payment to an attorney fee lien, rather than using those funds to pay expenses of the receivership. There is no dispute that attorney Foreman obtained a \$5 million lien for attorney fees based upon the judgment against the Defendants. The Court's concern here is that there was a significant payment made towards the attorney fee lien without first satisfying the debts incurred during the receivership. In general, costs and expenses of the receivership need to be paid before the judgment is paid.

As to the \$400,000 the Court has not yet seen authority that authorizes the \$400,000 payment in this situation. The fact that this payment was made from an "ERC proceed" does not convince the Court that it should be treated differently from any other payment that is received during the receivership. If so, where is the legal authority supporting that position? Nor did the receiver obtain permission from the Court in advance to make a \$400,000 payment. The receiver is an owner in Plaintiff and the receiver paying Plaintiff's attorney raises questions. Finally, it is not too late for the \$400,000 issue to be addressed. The receiver's final accounting is served on all interested parties with unsatisfied claims. (California Rules of Court, rule 3.1184(c).) Questions on the "propriety of various expenditures and the adequacy of the inventory of property could and should have been raised as objections to the receiver's final report and account." (*Aviation Brake Systems, Ltd. v. Voorhis* (1982) 133 Cal.App.3d 230, 235.) When considering the receiver's final report, the court may also consider whether "the receiver in his personal capacity may be surcharged for losses to the

receivership estate based upon his misconduct or mismanagement.” (*Aviation Brake Systems, supra*, 133 Cal.App.3d at 235.)

24. 1:30 PM CASE NUMBER: MSC16-01426
CASE NAME: RICHMOND COMPASSIONATE VS RICH PAT GROUP
HEARING IN RE: STATUS CCONFERENCE REGARDING THE RECEIVERSHIP (ALL PARTIES AND
INTERESTED THIRD PARTIES MAY ATTEND)
FILED BY:
TENTATIVE RULING:

Continued by the Court to December 24, 2026. One week prior to the hearing, the receiver shall file a memorandum outlining the plans for the sale of the businesses and what next steps will be taken.